

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 917

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO AI REGULATORY REVIEW; AMENDING TITLE 67, IDAHO CODE, BY THE ADDITION OF A NEW CHAPTER 34, TITLE 67, IDAHO CODE, TO ESTABLISH PROVISIONS FOR THE AI REGULATORY REVIEW ACT; AND DECLARING AN EMERGENCY.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Title 67, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW CHAPTER, to be known and designated as Chapter 34, Title 67, Idaho Code, and to read as follows:

CHAPTER 34
AI REGULATORY REVIEW ACT

67-3401. SHORT TITLE. This chapter shall be known and may be cited as the "AI Regulatory Review Act."

67-3402. LEGISLATIVE FINDINGS AND INTENT. (1) The legislature finds that:

(a) Outdated and unnecessarily burdensome regulations impose substantial costs to the state and on individuals and businesses;

(b) Artificial intelligence can systematically analyze regulatory frameworks at scales impractical by manual human review; and

(c) Regular systematic review ensures regulations remain relevant, effective, and minimally burdensome.

(2) Therefore, it is the intent of the legislature to establish AI-empowered regulatory review so as to reduce unnecessary regulatory burdens while maintaining public protections.

67-3403. DEFINITIONS. As used in this chapter:

(1) "Agency" means any department, board, commission, or other entity of the state authorized by the legislature to adopt rules or regulations.

(2) "Artificial intelligence" or "AI" or "AI system" means advanced artificial intelligence systems capable of autonomous analysis and recommendation generation regarding regulatory requirements.

(3) "Guidance document" means any agency statement that lacks the force and effect of law but provides direction regarding regulatory compliance or interpretation.

(4) "Plain language" means clear, concise, well-organized writing that is appropriate to the subject matter and intended audience.

(5) "Regulation" means any rule, standard, or other mandate adopted by an agency that has the force and effect of law.

(6) "Qualified agency personnel" means a person employed by an agency that has subject matter expertise or legal or regulatory analysis expertise.

1 67-3404. AI REVIEW REQUIRED. All agencies shall cause their regula-
2 tions and guidance documents to be reviewed by an AI system when conducting
3 their periodic review pursuant to section 67-5292, Idaho Code. The AI system
4 shall:

5 (1) Analyze:

6 (a) The mandates provided for by the regulation or guidance document
7 and determine:

8 (i) Whether such mandates are required by state or federal law
9 or regulation or another binding authority or are discretionary,
10 including relevant binding and persuasive state and federal case
11 law;

12 (ii) Whether such mandates conflict with or are duplicative of
13 other regulatory or statutory provisions of the state;

14 (iii) How such mandates compare to those of neighboring states and
15 federal laws and regulations; and

16 (iv) Whether such mandates can be simplified and written in plain
17 language while achieving the same mandated objective.

18 (b) The language of the regulation and guidance document to determine
19 whether the text uses plain language;

20 (c) The cost of complying with the regulation or guidance document, in-
21 cluding:

22 (i) Agency and public training hours required to ensure compli-
23 ance;

24 (ii) Time associated with filing and processing various forms and
25 paperwork required to be done by the agency or public;

26 (iii) Fees and direct costs associated with compliance for the
27 agency and public; and

28 (iv) Other resources required for compliance with the regulation
29 or guidance document; and

30 (d) The economic impact of its proposed modifications to the agency's
31 regulation or guidance document; and

32 (2) Provide:

33 (a) Recommendations for proposed modifications based on its analysis;

34 (b) A cost-benefit analysis of the proposed modifications; and

35 (c) An estimate of the potential savings from accepting a proposed mod-
36 ification.

37 67-3405. HUMAN REVIEW REQUIRED. (1) All AI-generated analyses and
38 recommendations shall be reviewed and approved by qualified agency person-
39 nel. No agency regulation or guidance document shall be amended or repealed
40 based solely on AI analysis without human review and approval conducted by
41 qualified agency personnel.

42 (2) Within thirty (30) days of the AI completing its review, the quali-
43 fied agency personnel shall:

44 (a) Verify the factual accuracy of the AI analyses;

45 (b) Assess appropriateness of the AI-proposed modification recommen-
46 dations;

47 (c) Ensure AI-proposed modifications maintain and align with applica-
48 ble statutory authority and legislative intent;

(d) Approve or reject each of the AI-proposed modification recommendations;

(e) Eliminate mandates duplicative of or contradictory to state or federal law or regulation;

(f) Correct plain language deficiencies;

(g) Streamline and reduce any unnecessary regulatory burden on the agency or public;

(h) Ensure references and citations remain current and remove or revise such provisions; and

(i) Initiate rulemaking pursuant to the provisions of this chapter and chapter 52, title 67, Idaho Code.

(3) If, after conducting the review, the qualified agency personnel determines that certain provisions identified by the AI as potentially unnecessary should, nevertheless, be retained, the agency shall document:

(a) The rationale for such determination;

(b) The benefit provided by such provision; and

(c) Why less burdensome alternatives or use of plain language is insufficient.

67-3406. RULEMAKING AND REPORTING REQUIRED. (1) Rulemaking, pursuant to the Idaho administrative procedures act, chapter 52, title 67, Idaho Code, shall be promptly initiated by an agency to incorporate changes based on review conducted pursuant to the provisions of this chapter. Agencies shall use such act's expedited rulemaking procedures for non-substantive corrections and burden-reducing changes whenever possible.

(2) Each agency shall annually publish a report containing:

(a) The number of regulations and guidance documents reviewed;

(b) The AI-generated review for each regulation and guidance document, including its analysis and recommendations;

(c) The review process conducted by the qualified agency personnel;

(d) The number of AI-generated recommendations that were accepted by the agency and appear as proposed changes to the rule;

(e) The estimated quantified burden reductions achieved; and

(f) The estimated cost savings to the agency and the public, including regulated persons.

(3) Such report shall:

(a) Be publicly available and published on the respective agency's website; and

(b) Be delivered and presented to the appropriate legislative committee for review and approval pursuant to section 29, article III of the constitution of the state of Idaho and chapter 52, title 67, Idaho Code.

(4) An agency may combine the report required by this section with the legislative report required by section 67-5292, Idaho Code.

67-3407. IMMEDIATE AGENCY ACTION REQUIRED. Within six (6) months of the effective date of this chapter, each agency shall:

(1) Acquire or develop AI systems capable of performing the analyses required by this chapter;

(2) Complete an AI-assisted comprehensive review of all regulations and guidance documents under its authority;

1 (3) Complete its human review required by this chapter; and
2 (4) Initiate rulemaking procedures pursuant to this chapter and chap-
3 ter 52, title 67, Idaho Code.

4 SECTION 2. An emergency existing therefor, which emergency is hereby
5 declared to exist, this act shall be in full force and effect on and after its
6 passage and approval.